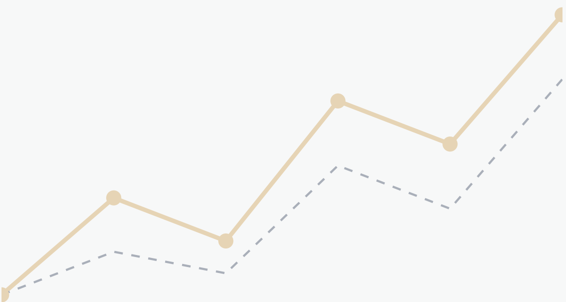
VENTURE CAPITAL DUE DILIGENCE · WHITE PAPER

The LP Readiness Gap

Eight chapters. Three bands. One cycle. A field guide to LP readiness for emerging venture capital managers.

- EIGHT-CHAPTER ODD FRAMEWORK
- STRUCTURAL VS FIXABLE ANALYSIS
- LP READINESS TRAJECTORY



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EXECUTIVE SUMMARY

Institutional ODD scorecards are useful tools. But the variable allocation committees need to read is not current state — it is readiness trajectory.

$29T Projected global alternatives AUM by 2029	**2 chapters** Most likely to fail — yet fixable with attention alone	**1 cycle** Often enough to close the fixable column entirely

Emerging VC managers rarely fail institutional operational due diligence randomly. Their scorecards tend to follow a predictable profile: clean fund terms and cooperative transparency at the top; governance and valuation infrastructure in the middle; compliance and cybersecurity gaps at the bottom. The pattern is consistent enough to be actionable.

The scorecard is a snapshot of state. The strongest signal is trajectory — a manager that closes the fixable column before the next diligence cycle looks materially different from one that carries the same findings forward.

KEY CONCEPTS

Structural findings	Reflect fund size, age, headcount, or capital — resolve as the firm scales.
Fixable findings	Reflect documentation gaps or vendor engagement — can be closed with attention and a modest budget.
Trajectory	A manager closing the fixable column before the next cycle looks materially different from one carrying the same findings forward.

CONTENTS

Table of Contents

ODD CHAPTER RATING LEGEND

- **PASS** Chapter meets institutional threshold
- **STALL** Constrained by emerging-manager scale
- **FAIL** Non-revenue infrastructure deferred

THE EMERGING VC PATTERN AT A GLANCE

- Fund Structure & Terms PASS
- Service Providers PASS
- LP Communications PASS
- Governance STALL
- Investment Ops STALL
- Valuation STALL
- Compliance FAIL
- Cybersecurity FAIL

SECTION 01

The Emerging VC Readiness Pattern

01

Emerging venture capital managers fail institutional operational due diligence in remarkably consistent ways. The failures are not random, not idiosyncratic, and not primarily a function of individual care or carelessness. They follow a pattern legible to anyone who has read enough reports.

The Pattern

The pattern usually begins with areas that come back clean. Fund terms are often acceptable — the LPA drafted by a reputable law firm, the fee structure within market norms, the waterfall mechanics standard, and clawback language in place. Service provider arrangements are also usually acceptable. The administrator is a known name, the auditor has a recognizable bench, and the banker is institutional. The diligence experience itself is often cooperative.

Then the scorecard darkens in a familiar sequence. Governance comes back yellow because the only internal operations role is thin and primarily administrative, and because a two-partner firm has no real succession depth. Investment operations come back yellow because the accounting books are maintained almost entirely by the administrator, with limited internal shadowing, and because the portfolio is still tracked in Excel. Valuation comes back yellow because there is no formal valuation committee and the front office approves its own marks.

> *"Two chapters then tend to come back red — Compliance and Cybersecurity. Their remedies require only attention and modest budget, not scale."*

This is not a description of one manager. It is a composite of the emerging manager profile. The specifics vary, but the shape is stable enough that a seasoned ODD analyst can often predict the broad scorecard before opening the binder — based on little more than fund size, team headcount, and vintage.

The Three-Band Profile

Mapped against the eight-chapter ODD framework, the emerging manager profile resolves into three distinct bands — each with a different underlying cause.

● PASS

Structure is imported from the market rather than built from scratch. Legal counsel, administrators, auditors, and standard fund formation practices do much of the work.

Ch. 4 — Fund Structure, Terms & Investor Alignment

Ch. 5 — Service Providers, Delegation & Oversight

Ch. 8 — Manager Transparency & LP Communications

● STALL

Fund size forces real trade-offs. Yellows here are the visible consequences of operating below the AUM threshold at which full back-office functions become affordable.

Ch. 1 — Manager, Ownership & Governance

Ch. 6 — Investment Operations & Portfolio Controls

Ch. 7 — Valuation, Asset Existence & Investor Reporting

● FAIL

These chapters require deliberate investment in non-revenue infrastructure. Neither program generates returns. Neither appears in the pitch deck. Both require budget and attention that emerging managers often allocate elsewhere.

Ch. 2 — Legal, Regulatory & Compliance

Ch. 3 — Technology, Cybersecurity & Business Resilience

> *Institutional readiness is judged at two levels. The manager-level scorecard is where diligence stalls are most common. But readiness compounds through the portfolio as well — a fund that passes its own ODD can still be held back at the next raise if its portfolio companies cannot withstand follow-on diligence.*

FIGURE 1

A Typical Emerging VC ODD Profile

> Composite across the eight-chapter institutional ODD framework. The typical emerging VC profile resolves into three bands: chapters that usually pass, chapters that stall at emerging-manager scale, and chapters that fail because non-revenue infrastructure has been deferred.

CH.	CHAPTER	RATING	TYPICAL FINDINGS
1	Manager, Ownership & Governance	STALL	Single back-office role; no formal succession plan; employee background checks completed internally.
2	Legal, Regulatory & Compliance	FAIL	Investment professional acting as compliance officer; no attestation or annual training program; written policy set at ERA minimums only.
3	Technology, Cybersecurity & Business Resilience	FAIL	No formal cyber policy; no incident response plan; no written business continuity plan; no endpoint controls or training program.
4	Fund Structure, Terms & Investor Alignment	PASS	Market-standard terms; reasonable fee structure; clawback and key person provisions in place.
5	Service Providers, Delegation & Oversight	PASS	Established administrator, auditor, and banker; continuation of prior-fund arrangements.
6	Investment Operations & Portfolio Controls	STALL	No internal accounting or cash tracking; Excel-based portfolio management; reliance on admin for books and records.
7	Valuation, Asset Existence & Investor Reporting	STALL	No formal valuation committee; front office approves its own marks; waterfall maintained in Excel.
8	Manager Transparency & LP Communications	PASS	Cooperative diligence posture; proactive disclosure of weaknesses; responsive to follow-up.

SECTION 02

Findings That Signal Trajectory, Findings That Don't

02

The archetype establishes which findings tend to appear on an emerging manager's scorecard. It does not establish which of those findings tend to move.

Over a two-to-three-year window between diligence cycles, some findings resolve reliably. Others do not. The division between the two is not well correlated with the severity of the finding at the moment of review. A red in Compliance and a yellow in Governance can sit on the same scorecard — and the red will often clear before the yellow. This is counterintuitive if the scorecard is read as a ranking, but it is consistent with how emerging firms actually evolve.

FINDINGS THAT RESOLVE

Addressable without prior growth

- Reassigning compliance officer from investment professional to head of operations
- Engaging a compliance consultant for attestations, training, and expanded policy set
- Engaging a cybersecurity vendor for policy, IRP, endpoint controls, and training
- Writing a formal business continuity plan

FINDINGS THAT PERSIST

Tied to scale constraints

- Single operations professional without back-office depth — resolves only when AUM supports a full-time head of finance
- Absence of formal succession plan — resolves only when the partnership expands beyond two principals
- LPAC formation — arrives only when fund scale and LP composition make it relevant
- External valuation agent — resolves only when portfolio size makes the cost proportionate

SECTION 03

Structural vs Fixable

03

The observational cut in Section 2 maps onto an operational distinction that emerging managers can use directly. Findings on an ODD scorecard are either structural or fixable — and in most cases, the distinction follows from what the finding is tied to.

FIGURE 2

Structural vs Fixable

> Which findings describe scale, and which findings signal readiness trajectory. Findings that persist across diligence cycles are not always the findings that matter most.

+ STRUCTURAL

Tied to fund size, age, headcount, or capital

These findings resolve when the underlying variable changes — and not before.

TYPICAL EXAMPLES

- Single internal operations role without back-office depth
- No formal succession plan at a two-partner firm
- LPAC formation deferred until fund scale warrants
- No internal accounting shadow of administrator
- Limited back-office oversight capacity

> *Usually defensible when acknowledged clearly, contextualized against scale, and paired with a size-triggered remediation plan.*

✓ FIXABLE

Tied to documentation, vendors, or role reassignment

These findings can often be resolved within a quarter with intent and a modest budget — regardless of fund size.

TYPICAL EXAMPLES

- Investment professional acting as compliance officer
- No attestation or annual training program
- No written cybersecurity policy
- No incident response plan or endpoint controls
- No written business continuity plan
- No formal valuation committee charter
- Background checks completed internally

> *More difficult to defend when left unresolved — these findings signal whether the manager has chosen to operate as an institutional firm.*

SECTION 04

Closing the Fixable Column

04

The practical question for an emerging manager preparing for institutional diligence is not whether to address the fixable column — but in what order.

A manager who starts with the slowest items and works inward will arrive at the next diligence cycle with most of the column still open. A manager who works the list in the right order will arrive with most of it closed. For most emerging managers, the fixable column closes in roughly this sequence:

01

Governance · IMMEDIATE

Reassign Compliance Oversight

Move the compliance officer role from an investment professional to the head of operations. This is a governance decision and formal role reassignment — it costs nothing and can be done today.

02

Compliance · CRITICAL PATH ON THE CRITICAL PATH

Engage a Compliance Consultant

Design and implement attestations, annual training, and an expanded policy set beyond ERA minimums.

03

Cybersecurity · LONGEST LEAD TIME ON THE CRITICAL PATH

Engage a Cybersecurity Vendor

Produce a formal policy, incident response plan, training regime, and associated technical controls. Typically the longest item on the calendar.

04

Resilience · DEPENDS ON STEP 03

Write a Formal Business Continuity Plan

Once the cybersecurity vendor can inform the technical provisions, the BCP can be drafted and executed. Sequenced behind item 3.

05

Valuation · DOCUMENTATION

Form a Valuation Committee on Paper

Establish a formal charter, approval workflow, and meeting cadence. Can be done without an external agent at early fund sizes.

SECTION 05

Where Readiness Compounds

05

Fund-side readiness is necessary, but it is not sufficient. The same diligence logic applies one level down — at the portfolio level — and one level inward, at the operational structure that every diligence finding ultimately tests.

I	II	III
Manager-Level Readiness Fund terms, governance structure, compliance program, cybersecurity posture, operational controls →	**Portfolio-Level Readiness** Cap table cleanliness, IP assignment, contract execution, data room discipline, security posture →	**Track Record & Next Raise** Portfolio diligence outcomes flow back through the track record to the manager's next institutional cycle

Readiness Compounds Through the Portfolio

An emerging VC manager that passes its own ODD can still face the same readiness gap at the next raise if its underlying portfolio companies cannot withstand diligence conducted by others. Follow-on leads, co-investors, lenders, strategic partners, and eventual acquirers all run their own versions of deal-side diligence. A portfolio that enters those processes with unresolved findings can produce delay, markdown, renegotiation, or walk-away — each of which flows back to the fund's track record.

At the seed and early stages, portfolio company readiness tends to cluster around a recognizable set of findings. Cap tables may not have been cleaned up after founder departures or early angel rounds. Customer contracts may have been agreed informally. IP assignments may not have been completed when contractors left. Data rooms may exist as shared drives rather than structured diligence artifacts.

STRUCTURAL AT SEED STAGE

A seed-stage company cannot reasonably be expected to operate a finance function that would pass a strategic acquirer's quality-of-earnings review.

FIXABLE AT SEED STAGE

A seed-stage company can reasonably be expected to maintain clean IP assignments, executed customer contracts, a current cap table, and a data room producible on request.

SECTION 06

About the Authors

06

Alpine Due Diligence Inc.

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Alpine Due Diligence Inc. is an operational due diligence firm serving institutional allocators, family offices, and venture capital managers. Alpine produces institutional ODD reports through a structured eight-chapter framework, supported by verification against SEC EDGAR and other regulatory registers, media screening, and source-based citation trails. The firm is built by practitioners with direct institutional ODD experience and reflects the diligence workflows LPs actually use.

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Acephalt Inc. is a due diligence platform that helps venture capital investors build confidence in the companies they invest in. By evaluating a company in minutes instead of months, Acephalt gives venture capital firms their own AI analyst that can work continuously across company data rooms. The platform helps forecast company performance, review market dynamics, and draft investment memos for stakeholders.

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CONTINUE THE CONVERSATION

This paper is part of an ongoing collaboration between Alpine Due Diligence and Acephalt.

For comments, citations, or a private walkthrough of how the framework applies to a specific manager or portfolio company, write to azhang@alpinedd.com. To receive bi-weekly case analysis, subscribe at alpinedd.com.